NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL
ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 25.03.2022 AT 10.30 AM

TC/CP. Nos.	CA/IA No.	Section/ Rule	Name of Parties
CP(CAA) No.7/230/AMR/2021		230	Saiyana Warehouse Private Limited (Transfer Co.1) (State of Andhra Pradesh) Avanthi Warehousing Services Private Limited (Transferee Company 1) (State of Andhra Pradesh)

Counsel for Petitioner(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

CP(CAA) No.7/230/AMR/2021 is allowed, vide separate orders.

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH AT HYDERABAD

CP (CAA) No.7/230/AMR/2021
Connected with
CA (CAA) No.6/230/AMR/2021

In the matter of
Section 230 to 232 of the Companies Act, 2013 Read with Rule 3 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

AND

In the matter of
SCHEME OF ARRANGEMENT BETWEEN M/s. SAIYANA WAREHOUSE PRIVATE LIMITED (TRANSFEROR COMPANY-1); AWAZE LOGISTICS PRIVATE LIMITED (TRANSFEROR COMPANY-2); AVANTHI WAREHOUSING SERVICES PRIVATE LIMITED (DEMERGED COMPANY/TRANSFEREE COMPANY-1) AND AWAZE LIMITED (RESULTING COMPANY/TRANSFEREE COMPANY-2)

M/s.Saiyana Warehouse Private Limited
Having its Registered Office at
D.No.24/2/10, D2, II Floor,
Neel Home Dargamitta,
Nellore- 524003,
Andhra Pradesh.

... Petitioner/Transferor Company-1

M/s. Avanthi Warehousing Services Private Limited
Having its Registered Office at
D.No.24/2/10, D2, II Floor,
Neel Home Dargamitta,
Nellore – 524003,
Andhra Pradesh.

... Petitioner/Demerged Company/Transferee Company - 1

Date of Pronouncement of Order: 25.03.2022

Coram:

Justice Telaprolu Rajani, Member (Judicial).

Counsel/Parties present:

For Petitioner(s) : Mr. Dukka Sriram Pavan Kumar, Advocate

For Regional Director : Mr.B.Mohanty, ICLS

For Official Liquidator : Mrs. Santoshi Jagirdari, OL

Per: Justice Telaprolu Rajani, Member (Judicial)

ORDER

1. The present Company Petition is filed by M/s. Saiyana Warehouse Private Limited (Transferor company-1); Awaze Logistics Private Limited (Transferor company-2); Avanthi Warehousing Services Private Limited (Demerged Company/Transferee Company-1) and Awaze Limited (Resulting Company/Transferee Company-2) seeking approval for Scheme of Arrangement (the Scheme for short) with the Transferee Companies.

2. The Registered Office of the Transferor Company-1 & Transferee Company-1 are situated in the State of Andhra Pradesh. The Registered Office of the Transferor Compompany-2 & Transferee Company-2 are situated in the State of Telangana.

3. Briefly the facts are as follows:

i. The Petitioner/Transferor Company-1 was incorporated as a Private Limited Company on 08.06.2000. The Authorised Share Capital as on 31.03.2020 is Rs.11,00,00,000/- divided into 1,10,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid up equity share capital is Rs.10,50,00,000/- divided into 1,05,00,000 equity shares of Rs.10/- each. The main objects of Transferor Company-1 are to carry on the business of warehousing, transporting and Carriage of Goods and to provide storage and protection of goods against insects, rats, moisture, rain, fire and other nature and man-made calamities and also to obtain any godown on lease and lent them to others on lease to provide storage and container facilities for hire and further to act as clearing and forwarding agents.

ii. The Petitioner/Transferee Company-1 was incorporated as a Private Limited Company on 11.02.1977. The Authorised Share Capital as on 31.03.2020 is Rs.12,00,00,000/- divided into 1,20,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid up equity share capital is Rs.11,83,80,700/- divided into 1,18,38,070 equity shares of Rs.10/- each. The main objects of Transferee Company-1 are to construct, build, equip, finance, own and maintain and to

carry on business as keepers of warehouses, storage chambers, cold storages, godowns, ice plants, refrigerators, freezing houses and to provide facilities for storage commodities, products, articles and things of every nature, kind and description etc.

iii. According to the Petitioner Companies, the proposed Scheme will reduce administrative costs and also result in reduction of overheads and other expenses, reduction of administrative and procedural work, enable the Demerged Company/Amalgamated Company, Resulting Company to affect internal economies and optimize profitability as also reduce administrative inefficiencies by reducing duplication of functions. It also results in operational convenience in terms of execution of contracts for Resulting Company and provision of related Services regarding Asset Business in Demerged Company/Transferee Company-1. In order to achieve the aforesaid objectives, the Board of Directors of Petitioner Companies have proposed to consolidate the First Transferor Company and the Transferee Company into a single Company by assimilating the asset businesses carried on by the First Transferor Company and the First Transferee Company after effective demerger of "Service Undertaking" from Demerged Company/First Transferee Company to Resulting Company.

iv. The Board of Directors of the Petitioner Companies approved their scheme at their respective board meetings held on 23.03.2021. The appointment date is 01.04.2020. Consent by way of Affidavit and No Objection to the Scheme supported by Board resolutions was also obtained from all the Equity Shareholders, Secured and Un-Secured Creditors of the Petitioner Companies.

v. The Tribunal by order dated 02.11.2021 dispensed with the requirement of holding meetings of all Equity Shareholders, Secured & Unsecured Creditors of the Petitioner Companies. The scheme of arrangement was approved by the board of directors and others.

4. As per directions of this Tribunal vide order dated 03.01.2022, the Petitioner Companies issued notices to the Statutory Authorities.

5. Notices were served on Central Government through the Regional Director (SER), Registrar of Companies (RoC), Andhra Pradesh, Official Liquidator, Hyderabad, Income Tax Authorities for intimating the Scheme of Arrangement.

6. Regional Director (RD), Ministry of Corporate Affairs and Official Liquidator (OL) filed their reports in response to the notice issued

to them. The RD sought this Tribunal to direct the Petitioner Companies and the Petitioner Companies file their reply as follows;

S. No.	Regional Directors Sought this Tribunal	Reply given by the Petitioner Companies
1.	The appointed date is shown as 01.04.2020 and Balance Sheet as at 31.03.2020 has been filed. The Company also provided provisional Balance Sheet duly signed by the Auditor's as on 31.03.2021. Hon'ble Tribunal may be pleased to direct the Petitioner Companies to file the due Annual Return and Balance Sheets and submit proof of filing the same before the scheme is allowed.	All the Petitioner Companies have filed all the statutory returns, we are here by attaching the proof of filing the same before Hon'ble Tribunal.
2.	Clause 35 of the Scheme provides for increase in authorised capital of Transferee Company No.1 by Rs.12 Crores. However, the authorised capital of the Transferor Company-1 is only Rs.11 Crores. Hon'ble Tribunal may be pleased to direct the Petitioner Company to furnish proper justification with supporting documents, duly certified by the Directors.	As per the Clause 35 of the Scheme, the Authorized share capital of Transferor Company-1 is Rs.11 Crores and Authorized share capital of the Transferee Company-1/Demerged Company is Rs.12 Crores. The Total clubbing of Authorized share capital after merger is Rs.23 Crores, but after clubbing the authorized share capital shown as Rs.24 Crores due to Transferee Company-1 must issue new shares to Transferor

		Company-1. Thus increase of Authorized share capital of Rs.1 Crore will be additional and all the Directors hereby certifying that the increase of capital if any will be subject to stamp duty payable and any other fees payable by the Transferee Company-1 once the scheme gets approved.
3.	Clause 40 of the Scheme provides for automatic increase of authorised capital of 2nd Transferee Company by Rs.5 Crores being the authorised capital of 2nd Transferor Company. Hon'ble Tribunal may be pleased to direct the Petitioner Company to pay the requisite fee and stamp duty on such increase after deducting the fee and stamp duty already paid by the 2nd Transferor Company.	As per Clause 40 of the Scheme, if any automatic increase in share capital of second transferee Company, we are hereby undertake that any additional stamp duty or requisite fee payable after deducting the fees and stamp duty paid by Transferor Company-2 will be paid by the 2nd Transferee Company.
4.	RD sought this Tribunal to preserve its books of accounts & papers & records and shall not dispose of without prior permission of the Central Government in terms of Section 239 of the Companies Act, 2013.	The Petitioner Companies undertake that the Petitioner Companies will preserve all its books of accounts and papers and records and shall not dispose them without prior permission of Central Government in terms of provisions of Section 239 of Companies Act, 2013.

5.	RD sought this Tribunal to direct the Petitioner Companies to ensure statutory compliance of all applicable laws and also sanctioning of the present scheme the applicant company shall not be absolved for any of its statutory liability in any manner.	The Petitioner Companies undertake that all the petitioner Companies ensuring statutory compliance of all applicable laws and also on sanctioning the scheme of the present scheme the applicant companies shall not absolved for any of its statutory liability in any manner.
6.	The Report of the RD reflects that no objection was raised by the Income Tax Department for the composite scheme of arrangement.	The information given about NoC received from Deputy Commissioner of Income Tax, Nellore for the Scheme. Hence, no comments.
7.	As per 1.1 of Part-I of the proposed scheme the appointed date is 01.04.2020. As the appointed date is approximately two years old. Petitioner Companies may be advised to amend the appointed date from 01.04.2020 to 01.04.2021.	As per 1.1 of Part-I of the Scheme provided the appointed date as 01.04.2020 as approved by all the shareholders of the Companies, Secured Creditors and Unsecured Creditors. All the Employees of the Companies have taken the appointed date as 01.04.2020 on record and we have filed the Company Application dated 02.05.2021 before the Hon'ble Tribunal, Hyderabad Bench within one year one month from

		the appointed date i.e. 01.04.2020. As per MCA General Circular No.09/2019 clarification given under Section 232(6) of the Companies Act, 2013 and as per Supreme Court order No.665 of 2021 in SMW(C) No.3 of 2020 in cognizance for extension of limitation. We request this Hon'ble to allow the appointed date as 01.04.2020 and we have submitted all the statutory filings with all the concerned Authorities for F.Y 01.04.2020 to 31.04.2021. The filed forms and acknowledgements with paid challans are enclosed herewith for your kind perusal and no statutory filing is pending as on date. Thus, we request this Hon'ble Tribunal to allow the appointed date as 01.04.2020.
8.	The RD sought this Tribunal to direct the Resulting/Transferee Company to state whether all the Petitioner Companies have complied with the provisions of Section 56 r/w Rule 11 of Companies (Share	The Petitioner Companies hereby certify that we have complied the due process as per Section 56 r/w Rule 11 of Companies (share capital and Debentures) Rules, 2014, with respect to share transfers after the appointed

	Capital and Debentures) Rules, 2014, with respect to change in transfer of shares after the appointed date, if so, the Petitioner Companies may be advised to furnish the compliance/necessary filings made with concerned Registrar of Companies, transfer certificates, entries made in the Register regarding transfer of shares etc., duly certified by the Directors of the respective companies.	date and filed e-form MGT-7s for all Companies for the financial year 20-21 and hereby attaching along with e-form paid challans.
9.	As per the Company Master Data there are eight open charges in the Demerged Company. The RD sought this Tribunal to direct the Transferor Company-1 & Transferee Company-1 to furnish the current status of the said charges and copy of the consent from any new creditors.	There is only one new charge from Kotak Bank, we are hereby attaching NoC received from new creditor and we have already furnished consent/NoC from all the Creditors and submitted to Hon'ble Bench in Company Application level and as per order dated 02.11.2021 of Hon'ble Bench has dispensed the Secured and Unsecured Creditors meetings.

Hence, from the above report of the RD it can be understood that there are no tenable objections raised and that the queries posed to the companies were also answered. Hence, the direction as sought for by the Regional Director (RD) would stand complied.

7. The Official Liquidator (OL) made certain observations in his report and the Petitioner Companies has filed their reply, which is as follows:

S.No.	Observations of Official Liquidator (OL)	Reply given by the Petitioner Companies
1.	The Resulting/Transferee Company No.2 is comes under the jurisdiction of Hon'ble NCLT, Hyderabad Bench and hence, this Hon'ble Tribunal may sanction the scheme subject to the orders of the Hon'ble NCLT, Hyderabad Bench against the C.P.(CAA) No.45/230/HDB/2021, which was filed by the Petitioner Companies.	The Joint Petition is also filed with Hon'ble Tribunal, Hyderabad Bench against C.P.(CAA) No.45/230/HYD/2021 is pending for approval and received RD report with no objections except with appointed and for that we have given clarification and matter posted to 21.03.2022 for final hearing.
2.	As per Clause 1.1 of Part-1 of the Scheme provided the Appointed date as 01.04.2020, which is very old as of now, however the Petitioner Companies have submitted the audited financials upto 31.03.2021 to the Official Liquidator.	As per Clause 1.1 of Part-I of the Scheme provided the Appointed date as 01.04.2020 as approved by all the shareholders of the Companies, Secured Creditors and Unsecured Creditors. All the employees of the Companies have taken the appointed as 01.04.2020 on record and we have filed the Company Application dated 02.05.2021 with this Hon'ble Tribunal,

		Hyderabad Bench with in one year one month from the Appointed date i.e., 01.04.2020. As per MCA General Circular No.09/2019 clarification given under Section 232(6) of the Companies Act, 2013 and as per Supreme Court order No.665 of 2021 in SMW(C) No.3 of 2020 in cognizance for extension of limitation. We request this Hon'ble Tribunal to allow the appointed date as 01.04.2020 and we have submitted all the statutory filings with all the concerned Authorities for F.Y. 01.04.2020 to 31.04.2021. The filed forms and Acknowledges with paid challans are enclosed here with for your kind perusal and no statutory filing is pending as on date. Thus, we request this Hon'ble Tribunal to allow the appointed date as 01.04.2020.
3.	As per Clause 1.1(g) of Part-"I" of the scheme dealing with 'Record Date', leaving it to be fixed by the Board of Directors of the Demerged Company in consultation with the Resulting Company without involvement of Transferor Company-1	As per Clause 1.1(g) of Part-I of the Scheme, dealing with Record Date. We undertake that all the Board of Directors of Petitioner Companies mutually agrees by immediately after sanction of the scheme and before dissolution of the Transferor Company-1 on effective date will be Record Date.

	and hence, this Hon'ble Tribunal may be pleased to direct the Demerged/Transferee Company-1 and Resulting/Transferee Company-2 to submit an undertaking to this Hon'ble Tribunal to effect that the Record Date would be decided and fixed mutually by the Board of Directors of the Petitioner Companies immediately after sanction of the Scheme and before dissolution of the Transferor Company-1 on effective date.	
4.	Clause 7.1 of Part-"II" of the Scheme seeks to protect the employees of the Demerged Company who are in service as on effective date and similarly, the Clause 14 of Part-"III" of the Scheme seeks to protect the employees of the Transferor Company-1 who are in service as on effective date and similarly, the Clause 22 of Part-"IV" of the Scheme seeks to protect the employees of the	As per Clause 7.1 of Part-II and Clause 14 of Part-III of the Scheme, for employee's retrenchment, we already filed an affidavit for the same with Official Liquidator dated 23.02.2022.

	Transferor Company-2 who are in service as on effective date. However, the Petitioners companies have submitted an undertaking that there would be no retrenchment of any employee who were in service as on Appointed Date (i.e., 01.04.2020).	
5.	Clause 10 of Part-II of the Scheme (for Demerged Business); Clause 17 of Part-III of the Scheme (for Amalgamation of First Transferor Company) and Clause 25 of the Part-IV of the Scheme (for Amalgamation of Second Transferor Company) provides for Accounting treatment such as Ind-AS notified under the Companies (Indian Accounting Standards) Rules, 2015.	Clause 10 of Part II of the Scheme (for Demerged Company) and Clause 17 of Part III of the scheme (for Transferor Company-1) and Clause 25 of the Part-IV of the Scheme (for Second Transferor Company, we hereby submit that in Company Application CA(CAA) No.6/230/AMR/2021 having Auditors certificates given for confirming Accounting treatment proposed in the scheme.
6.	There are no pending litigations or prosecutions against the Directors and Petitioner Companies as per the information provided by the Petitioner Companies vide its letters dated	There are no pending litigations or prosecutions pending against the Petitioner Companies before various statutory Authorities/Forums. Further it is submitted that the Demerged Company and Resulting Company would be surviving

	09.02.2022.	Companies post sanctioning the scheme of arrangement and as such it would not impact on the scheme of Arrangement. This material fact already submitted to Official Liquidator already by an affidavit dated 09.02.2022.
7.	As per Clause (v) of Annexure-A of the Auditor's Report dated 02.12.2020 for the financial year ended 31.03.2020 of the Demerged/Transferee Company-1 & Resulting/Transferee Company-2; Auditor's Report dated 10.12.2020 for the financial year ended 31.03.2020 of the Transferor Company-1 and letter dated 09.02.2022 of the Transferor Company, the Petitioner Companies have not accepted any deposits from the public.	The Petitioner Companies have not accepted any deposits under Section 73 of the Companies Act, 2013 and hence, the Petitioner Companies need not comment as they are material facts of the Petitioner Companies.

8. Finally the Official Liquidator (OL) accepted the submissions made by the Petitioners and the representative person was physically present and did not raise any objections for accepting the Scheme of Arrangement of the Petitioners Companies.

9. Considering the entire facts and circumstances of the case and on perusal of the Scheme, reports of the Regional Director, Official Liquidator, and reply/undertakings of the Petitioner Companies thereon and the documents produced on record, the Scheme of Arrangement appears to be fair and reasonable and is not contrary to public policy and not violative of any provisions of law. All the statutory compliances have been made under Section 230 to 232 of the Companies Act, 2013.

10. The Company Petition is allowed with the following directions:-

a) The Composite Scheme of Arrangement (Copy of the Composite Scheme of Arrangement is enclosed at Page No.328 to 396 of the Petition) is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their respective Shareholders and Creditors, Employees and all concerned under the Scheme.

b) The Scheme shall become effective from the Appointed Date i.e., 01.04.2020 and shall be made operational from the date of filing of the orders with the Registrar of Companies.

c) While approving the Scheme as above, it is further clarified that this order will not be construed as on order granting exemption from payment of stamp duty or taxes or any other

charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

d) The Petitioner Companies are directed to preserve their books of accounts and papers and records and not to dispose of without the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.

e) All concerned authorities to act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme immediately.

f) The Petitioner Companies are directed to take appropriate steps to submit the said Scheme to Registrar of Companies within 30 days from the date of receipt of copy of this order.

g) The Petitioner Companies are directed to issue newspaper publication with respect to approval of Scheme of Arrangement, in the same newspaper in which previous publications were issued in order to ensure

transparency/dissemination of complete information to all concerned parties about the approval granted by the Tribunal for the Scheme as proposed.

h) The Petitioner Companies are further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of Arrangement under the provisions of the Act.

i) The Petitioner Companies are also directed to strictly comply with all the Undertakings given by them including those with regard to payment of due taxes and other statutory dues as mentioned in foregoing paragraphs of this order.

j) The Petitioner Companies are directed to strictly adhere to the above directions and applicable provisions of the Companies Act.

11. Accordingly, the Scheme stands sanctioned and the Company Petition bearing CP (CAA) No.7/230/AMR/2021 is stand disposed of.

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu